

Patty was sure her bank had made an error on her account. It wasn't possible to have gone through \$120,000 (her insurance settlement minus the \$80,000 down payment on her new house) in less than six months. When she met with a bank representative to go over her account, Patty was amazed to discover that she had in fact spent all the money in her savings account.

If Patty had learned to live according to a budget, she would have set limits each month on what she could spend in each category such as food, clothing, or entertainment. Without a budget, Patty spent money whenever and however she wished.

Living by a budget would have set a limit on her spending. When she reached it, she would have had to stop. The urge to spend needs to be contained if you want to succeed in cutting down on your expenditures. The following quiz should be taken before deciding to make any major purchases:

1. Do you really need this item?
2. Is the price reasonable enough to justify buying it?
3. Is this the best time (season) to buy this item?
4. If this is a bargain, is it a current model?
5. If "on sale," is the price a true sales price?
6. Can a less expensive item be substituted?
7. Are you sure there are no major disadvantages?
8. Will this item truly satisfy an inner need?
9. Have you checked and researched the item?
10. Do you know the retailer's reputation?
11. Does this retailer offer any special services with the item?

Add up the number of times that you answered yes. If you answered yes only one to five times, don't waste your money. You might as well just hand your wallet directly to the sales clerk. If you answered yes more than six times, go ahead and buy the product. You'll probably never find a deal as good as this one.

